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PRIVATE STUDY & CREATIVE HUB

A practical guide to building a student workspace and small public cafe in the Philippines

01 SOLO
PRIVATE QUIET

01 DUO+
UP TO 3

01 GROUP
PER HEAD

CAFE
ORDER ANYTHING

OWNER-OPERATED PILOT / PHP 200,000 CONDITIONAL TARGET

Mature vision: 8 Solo + 4 Duo+ + 2 Group + Cafe

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THE READER'S MAP

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> This handbook is a decision and operating guide, not a professional construction plan or a guarantee of profits. All PHP figures are planning assumptions unless clearly supported by sources.

FIELD NOTES / APPENDICES

PREFACE - THE DECISION IN ONE PAGE

The proposed business is a student-oriented private workspace and creative hub with a small public caf-. It combines private study/project rooms with useful equipment, borrowable art materials, optional paid PCs and monitors, public caf- seating, a separately charged PisoWiFi connection, and metered caf- power outlets.

The mature vision is 8 solo rooms + 4 Duo+ rooms + 2 group rooms + caf- (14 private rooms total). Do not build all 14 rooms at launch. The recommended low-risk first phase is 1 solo + 1 Duo+ + 1 group room, plus 2-3 caf- tables, only in a suitable existing property with applicable permissions.

The investment thesis is simple: keep fixed monthly expenses low enough to survive a slow opening. A PHP 200,000 pilot is a conditional spending target, not a promise; it assumes a pre-existing space, substantial reused furniture, limited refurbishing, safe electrical and ventilation systems, and some owner-led labor. A rented full-sized facility with credible sound isolation could exceed PHP 1 million, depending on actual quotations.

The owner will initially run the facility personally. This is owner-operated, low-overhead work, NOT fully passive income. Rooms can be automated but arrivals, customer support, cleaning, incidents and food hygiene still require attention. Never leave occupied private rooms unstaffed just because payment is automated.

Opening rule: first prove willingness to pay using actual reservations; then expand in response to repeat demand. Do not sign a large commercial lease merely because the concept looks attractive on paper.

CHAPTER / 1

CHAPTER 1 - PURPOSE, CUSTOMERS AND POSITIONING

1.1 Mission and promise

An affordable, respectful place for focused study, academic projects, art, design, programming, tutoring and group collaboration. It is neither a conventional computer shop nor just a coffee shop.

The caf- is the accessible public entry point. The private rooms are the premium service: privacy, quiet, standard charging, free Wi-Fi and a focused workspace.

1.2 Primary customers

- Senior-high students working on assignments and performances, with age-appropriate supervision and safety measures.
- College students working on capstones, drafts, reports, coding, presentations and research.
- Tutors, student organizations, freelance creators and exam-review partners, when their activities fit the same house rules.

1.3 Jobs customers hire the business to do

- "I need a place where I can concentrate alone."
- "Our group needs a table, a screen and a whiteboard without disturbing others."
- "We have a project to make but no convenient workspace."
- "We need affordable short-term space with useful equipment."
- "We only need drinks and a table right now."

1.4 What not to promise

Do not market rooms as acoustically soundproof unless independently tested. Do not promise total secrecy or emergency-proof privacy. Do not claim equipment is universally free if consumables or high-power use have limits. Do not imply minors may use hazardous tools unsupervised.

CHAPTER / 2

CHAPTER 2 - COMPLETE BUSINESS FORMAT

2.1 Customer-facing service map

ZONE A - PUBLIC CAF-: open seating, food/drinks, table-based activities, paid PisoWiFi, paid charging stations. Normal conversational volume is permitted if it does not disturb neighboring rooms.

ZONE B - PRIVATE ROOMS: Solo (1 person), Duo+ (up to 3), Group (up to 6 per room, final capacity subject to building review). Standard outlets and room Wi-Fi included. Computer access, multi-monitor stations and advanced equipment are optional extras.

ZONE C - STAFF AND UTILITIES: cashier, drink storage, wash area, network cabinet, maintenance storage, cameras viewing permitted shared circulation spaces, first-aid and safety equipment.

ZONE D - FUTURE WORKSHOP: noisy, dusty, hot, sharp or fume-producing work. Only launch this zone if a safe, approved, equipped and supervised space is available; do NOT permit soldering, drilling or chemical work in an ordinary enclosed study room.

2.2 Phase comparison

Item	Pilot version	Long-term target
Solo rooms	1	8
Duo+ rooms	1	4
Group rooms	1	2
Caf-	2-3 tables	Size determined by demand
Employees	Owner-operated	Add staff when workload justifies
Build strategy	Adapt existing legal space	Phased modular construction
Business decision	Test paid demand	Expand only after proof

2.3 Why full build must wait

Fourteen private rooms increase the total cost of walls, doors, ventilation, electrical outlets, lighting, furniture, cleaning, fire precautions and toilets. Quiet separation may become the most expensive promise. Empty rooms are not proof of poor product; they may indicate a site, marketing, price or school-calendar problem.

CHAPTER / 3

CHAPTER 3 - PRICES, CAPS AND TIME RULES

All rates below are proposed launch-test prices in PHP, not verified local market quotations. Change them after surveying customers and measuring actual margins.

3.1 Private room rates

Room	Standard price	Capacity	Notes
Solo	PHP 49 / room / hour	1	One user, no companion
Duo+	PHP 79 / room / hour	Up to 3	Fixed rate, whether 1, 2 or 3 attend
Group	PHP 30 / person / hour	Max 6	Minimum bill equal to 4 people
Group minimum	PHP 120 / room / hour	1-4 charged as 4	Prevents very low revenue on a large room

Group examples per hour: 4 people PHP 120; 5 people PHP 150; 6 people PHP 180. A party of 2-3 pays the four-person minimum if it insists on renting a group room. Occupants cannot exceed the posted physical capacity even if willing to pay more.

3.2 Optional four-hour promotions

Solo PHP 169/4 hours; Duo+ PHP 279/4 hours; Group PHP 105/person/4 hours with a minimum total equivalent to four people. These are experiments and reduce realized revenue per room-hour. Never model discounted customers as if they pay full rates.

3.3 Check-in and overtime

Bookings are prepaid; show the start/end time and included guests. A person entering the room counts as an occupant. If someone arrives late, do not reset the time for the entire group. Proposed grace for ending: 5 minutes when no next booking, at operator discretion. Post clear refunds, reschedules, late arrival and damage procedures before first sale.

3.4 Add-ons to test

Add-on	Indicative price	Operating note
PC workstation	PHP 25-35/hour	Only after cost/payback analysis
Premium multi-monitor station	PHP 45-60/hour total	Include PC in bundle
Extra monitor	PHP 10-15/hour	Not mandatory for basic use
Ordinary creative supplies	Included in limited quantities	Keep inventory limits
Specialized equipment	Posted use fee or deposit	Training and supervision
Printing	Per-page	Set price against consumables

Free supplies are consumables within sensible limits, not unrestricted take-home merchandise. Establish borrowing logs and replacement values for equipment.

CHAPTER / 4

CHAPTER 4 - PUBLIC CAF- POLICY

4.1 Core idea

ORDER ANYTHING. USE YOUR TABLE. TWO HOURS INCLUDED.

- Solo: purchase any one available item; up to two hours of seating are included.
- Two people: each purchases any item; up to two hours are included.
- Three or more as one party: each person pays at least PHP 60 upfront, fully credited toward food and drinks. Two hours of seating included.
- Additional time: test PHP 20/person/additional hour, subject to seating availability. This is a seat-time charge, not a food credit.
- Caf- Wi-Fi is not free: customers buy access from the independent PisoWiFi system.
- Caf- electrical outlets are not free: customers may use clearly labelled, protected coin-operated charging stations.
- Takeaway customers need no seating minimum. Private-room customers purchasing food do not need to meet a caf- seating threshold unless they also occupy caf- seating.

Avoid the loophole where a party of six registers as three independent pairs at adjacent tables. Treat a group that deliberately occupies a shared table cluster as one party, consistently and without intrusive enforcement.

4.2 Belongings and virtual boundaries

Each caf- table has an assigned personal-use footprint, including suitable floor space alongside or beneath the table for bags and project materials. Customers may put belongings on the floor inside their zone. Study, sketch, cards, board games and clean creative activities are allowed at the table, not as floor-spreading activities. Nobody may spill into a neighbor’s area or shared circulation space. Aisles, exits and accessible routes always stay clear. Use subtle floor corners, tile changes or table labels to mark zones.

4.3 Atmosphere and behavior

Normal conversation is permitted. Loud music, yelling, strong odors, disruptive activities, dangerous tools, cooking appliances, electrical tampering, and damaging wet art processes are not. Do not let customers use food tables for hazardous soldering or cutting work.

4.4 Time records and customer experience

Start the seating timer when the order is served. Put the expiry on the receipt or digital ticket. Offer a 10-minute grace period during non-busy hours. A new order does not automatically restart the clock. Allow optional extensions only when spare seating exists. Display prices and terms clearly before ordering.

CHAPTER / 5

CHAPTER 5 - PAID INTERNET, POWER AND DEVICES

5.1 Two separated networks

Private-room network: included Wi-Fi with sensible fair-use limits; separate VLAN or SSID; customer-to-customer isolation where practical.

Caf- network: independent PisoWiFi portal, coin/voucher access, limited to public internet. Never allow the public network to reach the cashier, room booking controller, management ports or CCTV recorder.

Admin systems and cameras need a third protected management network. Back up configurations and keep logging proportional and privacy-conscious.

5.2 Caf- charging concept

Planning test: PHP 5/30 minutes, PHP 10/hour, PHP 15/two hours for normal phone/laptop charging. These are service prices, not electricity tariff claims.

Install a few coin-operated stations first. Provide clear load limits. A competent licensed electrical practitioner should check the design, protected circuits, breaker sizing, RCD/RCBO/GFCI arrangements as appropriate, outlet placement and installation. Keep outlets away from drink spills. Ban kettles, cooking heaters, soldering irons, extension daisy chains and unattended damaged chargers.

5.3 Private room policy

Standard safe outlets and Wi-Fi are included in room rent. High-power workshop devices, premium PCs and printing are separate services if offered. Keep critical network, payment and room-lock control separate so a PisoWiFi outage does not unlock rooms or erase paid time.

5.4 Privacy of device data

Do not inspect customer laptop content. For rented PCs use guest profiles, account sign-out, privacy partitions, security updates and session cleaning. Never advertise a PC as private if previous customers' files or passwords can persist.

CHAPTER / 6

CHAPTER 6 - SPACE PLANNING AND CONCEPT LAYOUT

6.1 Pilot functional diagram (NOT TO SCALE)

ENTRANCE -> PUBLIC CAF- / ORDER COUNTER -> STAFF-VISIBLE ROOM CORRIDOR -> SOLO / DUO+ / GROUP

Separate wash/food handling from electrical/network cabinetry. Position shared washrooms, emergency exits and any accessible routes as required by the actual site and authority review. Put public charging points in a dry, visible location.

6.2 Growth layout rules

- Caf- should face the entry and be acoustically separated from the quiet room corridor.
- Corridors should avoid blind spots without putting cameras in private rooms.
- Use solid, safely installed partitions, sealed doors and a ventilation strategy. Acoustic foam alone is not sound isolation.
- Provide table space sufficient for notebooks, laptops and projects; avoid tiny coffee-shop round tables for work-focused users.
- Keep network cabinet, drink preparation, tool storage and rubbish handling separated.
- Plan airflow, cooling and heat loads per room; closed doors can make low-cost rooms stuffy very quickly.
- Do not invent legal exit widths, room dimensions or occupant load. Have the actual plan checked under applicable building, sanitary and fire rules.

6.3 Space envelope - design assumption only

Pilot space might be approximately 35-65 m2 if existing layout is suitable. The 14-room target plus caf-, access ways and services could require roughly 150-220 m2 or more depending on room sizes and code-driven arrangements. These are not regulatory floor-area standards or architectural measurements.

6.4 Acoustic acceptance test

From the neighboring room, play normal conversation and record whether words are intelligible. Check doors closed, HVAC running and electrical equipment on. Repeat after construction. The customer rule is "Do not create noise that can be heard as a disturbance in the next room." The business must offer sufficient actual isolation; it cannot fairly blame normal speaking customers for poor construction.

CHAPTER / 7

CHAPTER 7 - PRIVACY, CAMERA CHOICE AND MINORS

7.1 Default surveillance boundary

No routine CCTV inside private rooms. Cameras, if installed, are limited to announced common areas such as entrance, corridor and cashier, positioned to minimize views into rooms. Post notices and document purpose, retention, access and incident handling in accordance with the National Privacy Commission’s CCTV guidance [S1].

7.2 Optional portable room surveillance

Not recommended for the pilot. The originally proposed customer-requested portable camera creates serious consent, security, recording, child privacy and retention complexity. If revisited, require a written policy, a defensible legal basis, agreement of all affected occupants, additional safeguards for minors, restricted access and clear removal/retention rules; get a competent privacy/legal review before deployment. A requesting customer does not automatically authorize monitoring companions.

7.3 General safety

Provide a way to call the owner, visible emergency routes, reliable door releases, first-aid supplies, fire-safety equipment required by the authority, incident logs and safe maximum occupancies. Privacy does not mean staff are prohibited from responding to emergencies.

7.4 Student/minor protection

Check the applicable age and parental/guardian policy. No minors allowed to use heated, sharp, fume-generating or powered workshop tools unsupervised. Use only essential booking/guardian contact data; publish a privacy notice and deletion schedule. Do not require unnecessary student identification photocopies.

CHAPTER / 8

CHAPTER 8 - EQUIPMENT, MATERIALS AND BORROWING

Core kit: desks, comfortable easy-clean chairs, task lighting, whiteboards, dry-erase markers, rulers, pencils, erasers, basic first-aid and appropriate waste bins.

Shared creative kit: cutting mats, scissors appropriate for the user's age, tape, glue sticks, paper, color markers, drafting supplies and hand tools chosen for low risk. Limit one kit per booking and count it back in.

Premium kit (defer): PCs, additional monitors, scanners, printers, specialist testing equipment, delicate electronic instruments.

Hazardous workshop kit (separate approval): drills, saws, soldering, hot glue, high-current bench power sources and volatile chemicals. Only introduce with an approved dedicated zone, instructions, PPE, ventilation, permits where needed and supervision.

Borrowing log fields: date/time, room, item/asset tag, condition at issue, borrower identifier, return time, returned condition, staff initials, damage note. Set clear normal-wear and accidental-damage policies; don't automatically accuse customers of theft.

CHAPTER / 9

CHAPTER 9 - OWNER-OPERATED DAILY WORKFLOW

9.1 Before opening (20-40 minute checklist)

Inspect exits and extinguishers; check toilets/water/handwashing; visually check outlets; connect payment system; verify room controls and PisoWiFi; wipe tables; count drinks and supplies; update room availability. Record any unsafe equipment as OUT OF SERVICE.

9.2 During service

- Greet and classify as caf- visitor or private-room booking.
- Show prices and rules before payment.
- Assign table boundary or room and log occupant count.
- Issue proper invoice/document required by applicable tax rules.
- Serve the food or drink; start caf- seating timer.
- Explain add-ons; do not interrupt private-room users without reason.
- Process extensions, booking changes and support requests.
- Record each incident or outage and refund response.

9.3 Closing (20-45 minutes)

Clean surfaces; count room usage; count cash and coin boxes independently from electronic revenue; log wastage, supplies and broken tools; lock machines and high-value equipment; check network backups; close caf- stock and securely dispose of unsafe perishables.

9.4 Solo-operator capacity ceiling

Three rooms + 2-3 caf- tables can be plausible with packaged drinks/snacks, scheduled check-ins, few menu SKUs and streamlined POS. Fourteen private rooms plus caf- is not a reasonable unattended or guaranteed one-person workload. Recruit help when arrival queues, delayed cleaning, incidents or customer dissatisfaction rise. Provide a trusted relief operator for absence/emergencies.

CHAPTER / 10

CHAPTER 10 - LOW-CAPITAL STARTUP BUDGET

10.1 PHP 200,000 owner-operated pilot - EXAMPLE ONLY

Line item	Target PHP
Convert existing rooms / doors / basic noise control	45,000
Tables, chairs, lights and signage	25,000
Safe electrical and ventilation work	25,000
Compact caf- counter, cooler and equipment	20,000
Router/network, basic CCTV common areas	10,000
Permits, inspections and safety allowance	20,000
Opening snacks, drinks and art supplies	10,000
Untouched working capital reserve	45,000
TOTAL	200,000

These are budget caps, not supplier quotations. Any item over budget must trigger scope reduction; never reduce fire safety, ventilation, sanitation or electrical protection just to hit PHP 200k.

If there is no suitable owned/family space, if rent deposits are required, if major construction is needed, or if proper noise isolation is expensive, this budget will NOT cover the proposed pilot. Do not borrow large amounts solely to build a concept without proven paid demand.

10.2 What not to buy initially

No 14-room partition package; no full espresso machine/kitchen; no costly gaming PCs; no industrial tools; no full surveillance-in-rooms; no elaborate app development; no custom coin outlet at every table.

10.3 Phase gates

Spend only the next tranche when the previous stage is safe and justified:

- Gate A: land/site legally usable; written estimates; demand interviews.
- Gate B: permits/pathway understood; cash reserve protected.
- Gate C: limited build inspected and priced correctly.
- Gate D: soft opening with actual paid bookings and measured repeat demand.

CHAPTER / 11

CHAPTER 11 - UNIT ECONOMICS AND BREAK-EVEN

11.1 Pilot room capacity

With 1 Solo (PHP 49/hr), 1 Duo+ (PHP 79/hr), 1 Group at four-person minimum (PHP 120/hr), the combined maximum rate at minimum group charge is PHP 248/hour.

Assuming 8 saleable hours/day and 26 days/month: 208 possible room-hours per room, PHP 51,584 total monthly room revenue if all three sell every hour at those base rates. This is not a demand prediction.

Average utilization	Monthly room gross at posted rate
10%	PHP 5,158
20%	PHP 10,317
30%	PHP 15,475
50%	PHP 25,792
70%	PHP 36,109

Realized sales may be lower with four-hour discounts and cancellations, or higher if group rooms book five/six payers and add-ons sell. Treat such changes explicitly, not implicitly.

11.2 Example caf- contribution

If 12 transactions/day average PHP 65 and 26 opening days, monthly caf- gross sales = PHP 20,280. At a hypothetical 40% contribution margin after product-related variable costs, contribution = PHP 8,112 before rent, labor, utilities, cleaning, fixed costs and owner pay.

Example at 20% rooms: PHP 10,317 room gross + PHP 8,112 caf- contribution + assumed PHP 1,500 net after variable costs from PisoWiFi/charging = about PHP 19,929 available toward fixed costs and owner compensation. This is not a forecast, and not necessarily profit.

11.3 The make-or-break distinction

Monthly cash profit = room sales + caf- sales + device/utility sales - ingredient/consumable costs - rent - electricity/internet - repairs - permits/tax cash flow - payroll/owner allowance - depreciation/replacement needs - other costs.

Distinguish gross sales, gross margin/contribution, operating profit, and cash in bank. Coins collected are sales, not automatically pure profit.

11.4 Conservative decision test

Before opening, model low / base / high bookings, exam season, ordinary classes, summer break and storms. Count the owner’s working hours as a cost, even if you postpone paying yourself. Keep at least 3 months of realistic committed operating cash after opening costs if possible.

CHAPTER / 12

CHAPTER 12 - OWNED PROPERTY, RENT OR LEASE?

A suitable owned/family property is generally better for an unproven owner-operated pilot because it removes monthly rent pressure. It is not automatically legal for public commercial use. Confirm zoning, owner permission, building use, commercial sanitation requirements and safety before inviting customers.

A lease may make sense later near a campus after recurring demand is proven. Model deposits, advance rent, fit-out that cannot be recovered, annual escalation, required restoration, noisy neighbors, landlord consent and permits.

Example only: PHP 20,000 monthly rent means PHP 60,000 rent over 3 months without any customers. A reserve of PHP 45,000 would not cover that rent alone. This is why a paid-lease first launch is rejected for the PHP 200,000 approach.

Do not assert that a rented business always closes within 3 months. Survival depends on costs, revenues and cash reserves, not a universal time limit.

CHAPTER / 13

CHAPTER 13 - REGISTRATION, TAX AND COMPLIANCE

This section is a preparation checklist, not legal advice. Confirm with the actual municipality/city, BIR Revenue District Office, DTI Negosyo Center, city health office and BFP. Rules and thresholds can change.

13.1 Practical starting structure

Evaluate a sole proprietorship with declared activities covering caf- retail/food handling, study/workspace access, computer/equipment services, PisoWiFi and metered power where applicable. Use separate internal revenue categories in one accounting system. Different activities may still require distinct permits, inspections or tax handling.

13.2 Registration route

- Ask local zoning/building authorities if the intended site can lawfully serve as a caf- and private study room operation.
- DTI business name registration for a sole proprietorship, subject to correct classification [S2].
- Apply for appropriate LGU permits and building/use clearances. Cagayan de Oro's city finance site lists business permit documentation and local process [S3]; other municipalities differ.
- For food/drinks, ask the health office about the sanitary permit and any food-handler health certificate under PD 856 [S4].
- Obtain applicable Fire Safety Inspection Certificate / BFP clearance and fix deficiencies [S5].
- BIR business registration, invoice/recording setup, books and appropriate returns. The EOPT reform made invoices the primary evidence for both goods and service sales, subject to detailed rules [S6].
- Investigate Barangay Micro Business Enterprise (BMBE) eligibility, rather than claiming it by default. RA 9178's broad definition covers certain small trading/service businesses with total assets up to PHP 3m, excluding qualifying land [S7]. Get current eligibility and tax-treatment confirmation for the actual mix of activities.

13.3 Tax truthfulness

Legal ways to avoid overpayment: accurate books, properly supported business expenses under the chosen regime, timely filings, correct registration, and confirmed eligibility for any incentive. Don't underdeclare coin collections, relabel sales as donations, or pretend the caf- and private rooms are an unregistered private club.

The 8% income tax option may be available for certain non-VAT taxpayers under specific requirements; mixed-income workers have different treatment for the PHP 250,000 reduction. See BIR RR 8-2018 [S8], and confirm the current rule with your RDO. A qualified income-tax-exempt BMBE cannot simply stack its exemption and the 8% business option. BMBE is not a universal exemption from every tax.

Do not infer tax liability from diagram, room count or brand name. Turnover, income category, legal status and chosen tax regime matter. File even where a particular tax due is zero if required.

13.4 Retained source documents

Keep DTI/permit certificates, approved invoices, order logs, cancellation/refund trail, Z-read or daily POS totals, coin collections reconciliations, payment proofs, stock counts, equipment capital register and supplier invoices.

CHAPTER / 14

CHAPTER 14 - LAUNCH MARKETING AND CUSTOMER RESEARCH

14.1 Demand validation before paying for walls

Interview at least 30-50 prospective customers across local student segments; observe peak walking traffic and schedules; collect bookings or refundable reservations if lawful and operationally ready. Ask about actual room duration, comfortable price, two-hour caf- use, pain points and preferred location. A survey "yes" is less convincing than paying for a booked hour.

14.2 Proposed offer

"Study quietly. Create freely. Respect the next room." Show pictures of the actual rooms and the true power/Wi-Fi policy. Explicitly state rates per room versus per head. Don’t suggest the caf- includes free Wi-Fi.

14.3 Channels

Community student groups with permission, referrals, campus-adjacent flyers where allowed, local maps/business profile, student research demo days, and appointment-based soft opening. Track which sources create real paid bookings.

14.4 Fair incentives

Use first-booking trials or off-peak bundles instead of indefinite low rates. Avoid discounting peak group-project demand below cost. Do not create a loyalty program until the baseline checkout is reliable.

CHAPTER / 15

CHAPTER 15 - FIRST 90 DAYS: EXECUTION PLAN

Days 1-15: validate and approve

- Determine exact property and ownership/lease permission.
- Confirm location's legal commercial use with appropriate authorities.
- Gather at least 3 fit-out and electrical quotations and 2-3 ventilation options.
- Survey students and ask for real paid-reservation intent.
- Obtain permit, fire, food-handling and privacy guidance; do not open prematurely.
- Reject the concept or reduce scope if the sound/noise requirement cannot be achieved affordably.

Days 16-30: build the pilot

- Convert just one solo, one Duo+ and one group room.
- Install safe tables, outlets, ventilation, signage and network segregation.
- Establish cashier, timer, stock, tool-issue log and complaint process.
- Test shared corridor cameras only; no internal-room CCTV.
- Test emergency access, lights, room occupancy and acoustic leakage.

Days 31-60: controlled soft opening

- Open predictable owner-attended hours.
- Sell the advertised service, issue proper documents and record true money flows.
- Measure every paid room-hour, caf- order, gross margin, utility expense and complaint.
- Gather anonymous satisfaction results but don't retain unnecessary student data.
- Adjust only one major assumption at a time.

Days 61-90: expand, revise or pause

- Calculate occupancy by room type, paid repeat visits, caf- contribution and net cash.
- Expand most demanded room type only if finances and layout support it.
- If occupancy is weak, investigate address visibility, peak hours, product fit and price before spending on new rooms.
- Pause any expansion if operating cash reserve is being consumed too quickly.

CHAPTER / 16

CHAPTER 16 - OPERATIONS SCORECARD AND DECISION GATES

16.1 Weekly KPI log

Metric	How calculated	Why it matters
Paid occupancy	Paid room-hours / available room-hours	Core demand
Revenue / available room-hour	Room revenue / available room-hours	Price plus demand
Repeat booking share	Repeat booked parties / all parties	Product usefulness
Caf- average ticket	Caf- sales / caf- transactions	Unit economics
Caf- gross margin	(Caf- sales - direct goods cost)/sales	Real contribution
Add-on take rate	Buyers of extras / total eligible customers	Value of extras
Customer complaints	Count and severity; root causes	Service quality
Cash runway	Cash reserve / net monthly burn	Survival

16.2 Go / hold / stop criteria

GO when the space is legally and physically safe, the reserve remains protected, and sustained paid demand plus positive unit margins are visible.

HOLD when customers like the concept but occupancy is inconsistent, sound isolation needs correction, or owner workload rises above safe capacity.

STOP/REDESIGN when the building is not approvable, hidden electrical/fire risks remain, repeated incidents are unresolved, or continued operation drains protected household cash.

FIELD NOTES / APPENDICES

APPENDIX A - PUBLIC HOUSE RULES (POSTER COPY)

PRIVATE ROOMS

- Keep noise low enough that neighboring rooms are not disturbed.
- Only registered occupants may enter; obey Solo 1 / Duo+ 3 / Group 6 maximum.
- No room cameras by default. Hallway security systems may operate with posted notices.
- Respect equipment, Wi-Fi policies, and booking times.
- Do not use hazardous or noisy tools in ordinary study rooms.
- Call staff for any emergency, equipment fault or concern.

PUBLIC CAF-

- 1-2 guests: each orders anything; first 2 hours of seating included.
- Parties of 3+: PHP 60 minimum per person upfront, fully usable for food/drinks.
- Extra time: trial PHP 20/head/hour if seats are available.
- Each table has its own virtual personal zone, including floor space for belongings.
- No activities spread across the floor, neighboring zones, aisles or emergency paths.
- Please keep activities safe, tidy and considerate.
- Caf- internet is via paid PisoWiFi; caf- charging stations are paid separately.

FIELD NOTES / APPENDICES

APPENDIX B - FORMS TO PRINT

B1 - Booking slip

Date _____ Room _____ Customer reference _____ | Occupants ___ | Time in _____ | Time out _____ | Room paid PHP _____ | Extra paid PHP _____ | Payment reference _____ | Staff initials _____

B2 - Borrowed materials

Date/time _____ Room _____ Item ID _____ Qty _____ Condition before _____ Return time _____ Condition after _____ Issue recorded by _____ Notes _____

B3 - Caf- table card

Table _____ / Assigned footprint _____ / Party size _____ / First order served at _____ / Included seating ends at _____ / Extension paid _____ / Exit/clear time _____

B4 - Daily cash-close reconciliation

Opening cash _____ + cash sales _____ + coin collections _____ + e-wallet receipts _____ - authorized refunds _____ - documented cash expenses _____ = expected ending cash _____. Actual counted _____; variance _____; signed _____.

B5 - Incident report

Timestamp _____ Category _____ Location _____ Persons involved (minimum needed) _____ Facts _____ Safety actions _____ Evidence handling _____ Refund/remediation _____ Follow-up deadline _____ Closed by _____.

FIELD NOTES / APPENDICES

APPENDIX C - RISK REGISTER

Risk	Mitigation	Trigger
Slow early demand	Existing-space pilot, prebooking validation	Runway declining
Lease overcommitment	No lease until repeat demand	Fixed costs exceed cautious forecast
Sound complaints	Test construction, enforce reasonable policy	Audible conversation across rooms
Heat/poor ventilation	Dedicated airflow plans and measurements	Occupant discomfort
Outlet/fire hazards	Licensed electrical work and RCD protection	Fault, heat, water exposure
Food contamination	Small menu, sanitary handling and permits	Temperature or cleanliness failure
Theft/missing tools	Borrow log, storage, fair accountability	Stock variance
Privacy breach	Minimal personal data; no room cameras	Unauthorized access/recording
Single-operator overload	Booking cap and relief plan	Queues and delayed incidents
School calendar	Seasonal forecast, expense discipline	Extended demand drop
Payment/timer failure	Manual fallback, audit trail, refunds	Incorrect customer balances
Unlawful commercial use	Zoning/permit clearance in writing	Authority rejects site

FIELD NOTES / APPENDICES

APPENDIX D - GOVERNMENT AND OFFICIAL SOURCES

The following are useful starting references verified during this handbook's preparation. Their inclusion does not certify any specific business as compliant. Recheck updated local rules before opening.

- [S1] National Privacy Commission, CCTV Systems Circular 2024-02 and announcement: https://privacy.gov.ph/npc-issues-circular-on-cctv-systems/ (official circular: https://privacy.gov.ph/wp-content/uploads/2024/08/NPC-Circular-No.-2024-02-CCTV-Systems.pdf)
- [S2] DTI sole proprietorship business name registration rules: https://bnrs.dti.gov.ph/pdf/registration/business_law.pdf
- [S3] City Finance Department of Cagayan de Oro, business permit documentation: https://cityfinance.cagayandeoro.gov.ph/index3.html (for CDO only; Jasaan or another municipality will differ)
- [S4] Philippine Code on Sanitation food-establishment rules, Supreme Court E-Library: https://elibrary.judiciary.gov.ph/thebookshelf/showdocs/10/39219
- [S5] Bureau of Fire Protection, Fire Safety Inspection Certificate guidance: https://bfp.gov.ph/wp-content/uploads/2021/12/1-CY-2021-Updates-on-BFP-Citizens-Charter-for-ARTA-Final.pdf
- [S6] BIR RR 3-2024, EOPT sales and invoices: https://bir-cdn.bir.gov.ph/BIR/pdf/RR%203-2024%20%28final%29.pdf ; BIR RMC 77-2024 invoice guidance: https://bir-cdn.bir.gov.ph/BIR/pdf/RMC%20No.%2077-2024.pdf
- [S7] Republic Act 9178, BMBE law, official DOLE/NWPC copy: https://nwpc.dole.gov.ph/wp-content/uploads/2023/04/ra-9178-bmbe-law.pdf
- [S8] BIR Revenue Regulations 8-2018 (8% option and income tax rules): https://bir-cdn.bir.gov.ph/local/pdf/RR%20No.%208-2018.pdf

FIELD NOTES / APPENDICES

FINAL BUSINESS DECISION

Build the minimum safe, legally permitted version, not the dream capacity. Keep the original mature vision of 8 Solo + 4 Duo+ + 2 Group as the scalable target. Treat the small caf- as a customer-acquisition and complementary-sales channel rather than relying on it to subsidize unlimited free seating.

Launch condition: legally permitted suitable property, safe outlets/ventilation, workable sound separation, actual student interest, transparent pricing, protected cash reserve, and a manageable owner-attended operating schedule.

Success condition: repeat paid bookings, clear weekly cash reporting and a growing reserve justify the next room. Expand one room at a time rather than committing to an expensive unfamiliar rental property.

End of concept handbook v1.0. Financial examples are deliberately illustrative; get real local quotations and professional compliance advice before investing.*